

RBI's Tough Stance

The Reserve Bank's outsourcing guidelines over the years

○ MAY'03

Fair practices code for lenders that says they should not resort to intimidation or harassment of borrowers. To recover loans, the lenders should not resort to persistently bothering the borrowers at odd hours, use of muscle power for recovery of loans, etc.

○ NOVEMBER '06

Guidelines on code of conduct in outsourcing all kinds of activities by banks; banking regulator says banks should ensure the recovery agents are properly trained

○ APRIL '08

RBI asks for police verification of recovery agents; informing borrowers their details and recording the content/text of the calls made by them. The regulator also requests IBA to formulate, in consultation with IIBF, a certificate course for direct recovery agents with minimum 100 hours of training

○ AUGUST '22

The central bank includes all regulated agencies under its recovery ambit; extends the scope of its guidelines to include NBFCs; also restricts the hours for calling defaulting borrowers on phone between 8 am and 7 pm

○ FEBRUARY '23

The banking regulator directs digital lenders to provide details of the recovery agent if a loan becomes NPA

Source: RBI circulars



"We have received complaints of customers being contacted by recovery agents at odd hours... There are also complaints of agents using foul language. Such kind

of actions... are unacceptable and pose reputational risk for the financial entities... we will not hesitate to take stringent action in cases where regulated entities are involved"

SHAKTIKANTA DAS,
GOVERNOR, RESERVE BANK OF INDIA, AT A BFSI SUMMIT IN JUNE 2022



"We have to have a central repository of blacklisted recovery agencies. We will talk to the IBA and banks to have such a centralised system"

BISWA KETAN DAS, CEO, INDIAN INSTITUTE OF BANKING & FINANCE

Recovery Rewards

The very high incentive structure for recovery agents

Overdue by	Commission on secured loans	Commission on unsecured loans
30-90 days	➔ 2-3%	➔ 7-8%
90-180 days	➔ 7-8%	➔ 12-15%
Beyond 180 days	➔ 10-12%	➔ 25-30%